INTRODUCTION

Financial statement modeling is a key step in the process of valuing companies and the securities they have issued. We begin our discussion with an overview of developing a revenue forecast. We then describe the general approach to forecasting each of the financial statements and demonstrate the construction of a financial statement model, including forecasted income statements, balance sheets, and statements of cash flows. Then, we describe key behavioral biases that can influence the modeling process and strategies to mitigate them. We then turn to several important topics on the effects of micro- and macroeconomic conditions on financial statement models: the impact of competitive factors on prices and costs, the effects of inflation and deflation, technological developments, and long-term forecasting considerations.

Most of the examples and exhibits used throughout the reading can be downloaded as a Microsoft Excel workbook. Each worksheet in the workbook is labeled with the corresponding example or exhibit number in the text.

Learning Module Overview

- A financial statement model is the starting point for most valuation models, and valuation estimates can be made based on a variety of metrics, including free cash flow, EPS, EBITDA, and EBIT.
- Some balance sheet line items, such as retained earnings, flow directly from the income statement, whereas accounts receivable, accounts payable, and inventory are very closely linked to income statement projections.
- Working capital accounts are modeled by projecting working capital ratios (e.g., days of inventory, days sales outstanding, days payable outstanding) which are combined with the sales and cost of sales forecast to produce projected working capital accounts on the balance sheet.
- Five key behavioral biases that influence analyst forecasts are overconfidence, illusion of control, conservatism, representativeness, and confirmation bias.
- Illusion of control, a bias linked to overconfidence, is a tendency to overestimate the ability to control what cannot be controlled and to take ultimately fruitless actions in pursuit of control.
- A common manifestation of confirmation bias among investment analysts is to structure the research process in pursuit of only positive news or certain criteria, or with a narrow scope.
- Competitive factors affect a company's ability to negotiate lower input prices with suppliers and to raise prices for products and services. Porter's five forces framework can be used as a basis for identifying such factors.
- Porter's five forces are Threat of substitutes, Rivalry, Bargaining power of suppliers, Bargaining power of buyers, and Threat of new entrants.
- Return on invested capital, ROIC, defined as net operating profit less adjusted taxes divided by the difference between operating assets and operating liabilities, is an after-tax measure of profitability. High and persistent levels of ROIC are often associated with having a competitive advantage.
- Inflation and deflation can significantly affect the accuracy of forecasts for a company's future revenue, profit, and cash flow.

relevant to a company's individual product categories.

- Faced with rising input prices, a company might decide to preserve its margins by passing on the costs to its customers, or it might decide to accept some margin reduction to increase its market share.
- The choice of the forecast time horizon can be influenced by certain factors, including the investment strategy for which the security is being considered, the cyclicality of the industry, company-specific factors, and the analyst's employer's preferences.
- Normalized earnings are the expected level of mid-cycle earnings for a company in the absence of any unusual or temporary factors that affect profitability.
- One of the greatest challenges facing the analyst is anticipating inflection points, such as from economic disruption, regulation, and technology, when the future will look significantly different from the recent past.

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